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Readthroughs Across the Space from PYPL Acquisition Speculation

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Parsing potential impacts across our coverage universe

On Wednesday, we wrote ([link](#)) on recent media reports suggesting Stripe and Advent International have made a joint offer to acquire PYPL for \$60.50/share which sent shares of PYPL up +17.2% to close at \$55.52. Concurrently, the vast majority of our Payments & Fintech coverage was also up on Wednesday (+2.3% on avg. excluding PYPL) and we received multiple inbounds telling us “the bottom [is] in” for the group. Following our conversations with investors over the last two days, we wanted to provide our thoughts on the impacts a potential deal would have across our group, including: AFRM (worst performing stock in our coverage over the last two days), XYZ (who [CNBC](#) reported could be involved in a potential deal), the networks, the likelihood of additional deals across the space, and PYPL mgmt.’s incentives to get a deal done.

AFRM’s relationship with SHOP

Over the past two days, AFRM has been the worst performer in our group on concerns that the company’s relationship with SHOP could be threatened by a combined Stripe/PYPL. For some background, AFRM is SHOP’s strategic BNPL partner and, since launching Shop Pay Installments in 2021, AFRM has powered the installment financing option embedded directly within SHOP’s checkout experience. In February 2025 ([link](#)), the two companies renewed and expanded their relationship through a multi-year global agreement that made AFRM the exclusive pay-over-time provider for Shop Pay Installments in the U.S., extended exclusivity into Canada, and established a framework for expansion into additional markets such as the U.K. For SHOP, AFRM enhances checkout conversion and average order values. For AFRM, SHOP provides access to millions of merchants and a highly scalable distribution channel. Separately, Stripe is one of SHOP’s most important infrastructure partners. Shopify Payments, SHOP’s native payments offering, has long been built on Stripe’s payments infrastructure, and SHOP has also used additional Stripe products such as Treasury and Issuing to support merchant financial services like Shopify Balance. In effect, Stripe helps power much of SHOP’s payments stack behind the scenes, while Shopify owns the merchant relationship and customer experience.

Stripe has historically lacked a native BNPL product, relying on integrations with players like AFRM and KLAR. Acquiring PYPL would give Stripe immediate ownership of BNPL products, potentially making AFRM’s third-party exclusivity less attractive if Stripe can offer an integrated alternative. However, if Stripe were

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to acquire PYPL we do not believe such a deal would threaten the AFRM/SHOP partnership in the near-term, given that SHOP and AFRM recently signed a renewed multi-year agreement granting AFRM exclusive rights for Shop Pay Installments in key markets. While Stripe would gain an alternative BNPL asset through the acquisition of PYPL and could try to incentivize a BNPL relationship with SHOP over time, it would still have to contend with SHOP's contractual commitment to AFRM. Longer-term, a combined Stripe/PYPL would likely seek to bundle payments, wallets, and BNPL into a unified offering which could make PYPL BNPL a more formidable competitor to AFRM when SHOP's exclusivity period eventually comes up for renewal. In that scenario, SHOP would have to weigh AFRM's strong consumer underwriting and proven Shop Pay integration against the potential economic and strategic benefits of a broader Stripe/PYPL platform.

[We see minimal network disintermediation risk](#)

We received a couple of questions around the potential impacts to V and MA from the potential acquisition. Stripe has spent the last several years building and promoting payment rails that are not dependent on the traditional card networks. At the merchant checkout level, Stripe has expanded support for bank-based payment methods (e.g., ACH, real-time payments, open-banking/A2A transfers, SEPA, etc.), which generally carry lower acceptance costs than card transactions. Additionally, Stripe has made a strategic investment in stablecoins as an alternative payments rail with the company's ~\$1.1bn acquisition of Bridge in 2025 which gave Stripe infrastructure that allows merchants and platforms to accept, hold, convert, and pay out funds using stablecoins without dealing directly with blockchain complexity. Stripe has since launched stablecoin-powered financial accounts and cross-border money movement products, positioning stablecoins as a lower-cost, faster-settlement alternative to portions of the card ecosystem, particularly for international commerce and B2B flows.

While a potential Stripe/PYPL combination would undoubtedly strengthen Stripe's ability to promote alternative payment rails, we think any potential threat to V and MA is overstated. Perhaps the strongest evidence comes from PYPL's own history, where the company has had every incentive to reduce network costs and increase wallet-based payments, yet over time it only deepened its relationships with V and MA rather than displacing them. The partnerships PYPL signed with V and MA in 2016/2017 were specifically designed to make PYPL more tightly integrated into the card ecosystem. V and MA recognized that PYPL drove incremental transaction volume and provided consumers with an alternative user interface, while the underlying funding source frequently remains a card. Further, consumer payment preferences remain a large barrier, particularly given that most eComm transactions remain carded and what Stripe merchants really want, in our view, is higher authorization rates and reduced fraud, not fewer card payments. We think the more credible risk is not near-term volume displacement but a longer-term shift in specific use cases such as cross-border payments, remittances, marketplace payouts, and certain digital transactions where stablecoins or bank-based payments offer cost and settlement advantages. Even in that scenario, the likely outcome is modest pressure on growth at the margin rather than true disintermediation, as V and MA are likely to retain their dominant position in everyday consumer spending and could continue participating in many emerging payment flows, including stablecoin-linked products.



XYZ's reported involvement in deal

Based on reporting from CNBC ([link](#)), XYZ might be participating in a potential acquisition of PYPL. CNBC wrote that "Stripe, Advent, and Block are contributing \$17 billion in equity for the offer", although reporting from Reuters ([link](#)) only mentioned Stripe and Advent. CNBC also highlighted that a key strategic objective of the consortium is improving Venmo monetization and restructuring PYPL away from public market scrutiny. Interestingly, there was also reporting later in the day from Bloomberg ([link](#)) that Stripe is "particularly interested in Venmo". Given the uncertainties associated with the varying reports, our best guess is that XYZ may not necessarily be involved alongside Stripe and Advent but may be exploring PayPal assets separately. For what it's worth, we do not expect XYZ to comment on these news reports unless an actual deal with their involvement is announced.

From XYZ's perspective, we think the most interest would be for PYPL's consumer assets, specifically Venmo, rather than the Branded or Braintree businesses. Cash App has become a leading U.S. consumer finance app, and Afterpay provides BNPL capabilities. Venmo has significant consumer engagement, debit card issuance, checkout acceptance, and P2P payment volumes, but PYPL has under-monetized the asset relative to its scale. Combining Venmo with Cash App would create one of the largest consumer payment ecosystems in the U.S., while integrating Venmo more aggressively across the Square merchant base could improve merchant conversion and unit economics for XYZ.

Potential for additional deals across the space

We believe the PYPL takeout discussions could serve as a catalyst for further consolidation and/or take privates across the space. As we noted in our previous note on this topic ([link](#)), the reported size of the offer and financing package suggests real interest despite execution challenges at PYPL and broader skepticism on the sector that could extend interest to other companies with attractive assets, perceived to be undervalued in the market. For example, BILL, who we have previously written about in the past (see [here](#) for more detail) traded up ~8% following the PYPL news likely driven by hopes of an eventual takeout. We note while we have seen several large deals over the past several qtrs. (e.g., GPN/Worldpay, FIS/TSYS, MA/BVNK, etc.) this represents one of the more sizable PE transactions in the space in recent years indicating potential appetite for scaled and differentiated payment assets that could signal confidence in the sector's long-term growth prospects or margin opportunity, despite most of the group trading at multi-year low multiples. Overall, a successful PYPL transaction could reinforce the attractiveness of public-market valuations across payments and fintech, potentially accelerating strategic reviews, take-private discussions, and consolidation activity among other scaled assets in the space. In addition, we could see this transaction setting a valuation floor for other payments and fintech companies, potentially narrowing the disconnect between public and private market valuations.

Mgmt. motivation to strike a deal at \$60.50/share

When evaluating the reported takeout price of ~\$60.50/share against PYPL's CEO comp structure, we note that the price would fall short of the first major performance benchmark. Based on details of his comp package ([link](#)), PYPL's new CEO received ~\$25m in inducement stock price performance based RSUs tied to



the average closing price of PYPL stock over any consecutive 60-day period. The award's initial payout begins at a stock price of ~\$68.13/share or a ~60% increase from the grant reference price of ~\$42.58/share, resulting in ~100% payout (~25% vests initially and ~75% in year 5). The package also includes "stretch" and "maximum" tiers at ~\$100/share and ~\$125/share, respectively, corresponding to payouts of ~175% and ~250% of target. Given the Board approved this package only months ago with full visibility into PYPL's strategic initiatives and financial outlook, a takeout price of ~\$60.50/share would not only fall below the first performance hurdle embedded in the CEO's most significant incentive award, but would also imply a sale below the level where the Board recently chose to incentivize CEO long-term value creation. While comp structures are not a valuation framework, they do provide insight into how directors think about long-term shareholder value, and we do not necessarily think mgmt. is incentivized to sell at the initial reported offer price of \$60.50/share. Rather, we think this offer could simply represent an opening bid and we expect further details to emerge as discussions continue between PYPL, Stripe/Advent, and other potential buyers.



Appendix 1

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Company	Ticker	Recent price	Disclosure
Affirm	AFRM.OQ	81.71 (USD) 15 Jul 26	7, 8, 14, 15, 21, 24
Bill	BILL.N	44.63 (USD) 15 Jul 26	7, 8, 15, 24, 26
Mastercard	MA.N	535.21 (USD) 15 Jul 26	2, 7, 8, 14, 15, 24, 26
PayPal	PYPL.OQ	55.52 (USD) 15 Jul 26	1, 7, 8, 14, 15, 21, 24, 26
Visa Inc.	V.N	355.14 (USD) 15 Jul 26	1, 2, 7, 8, 14, 15, 24, 26

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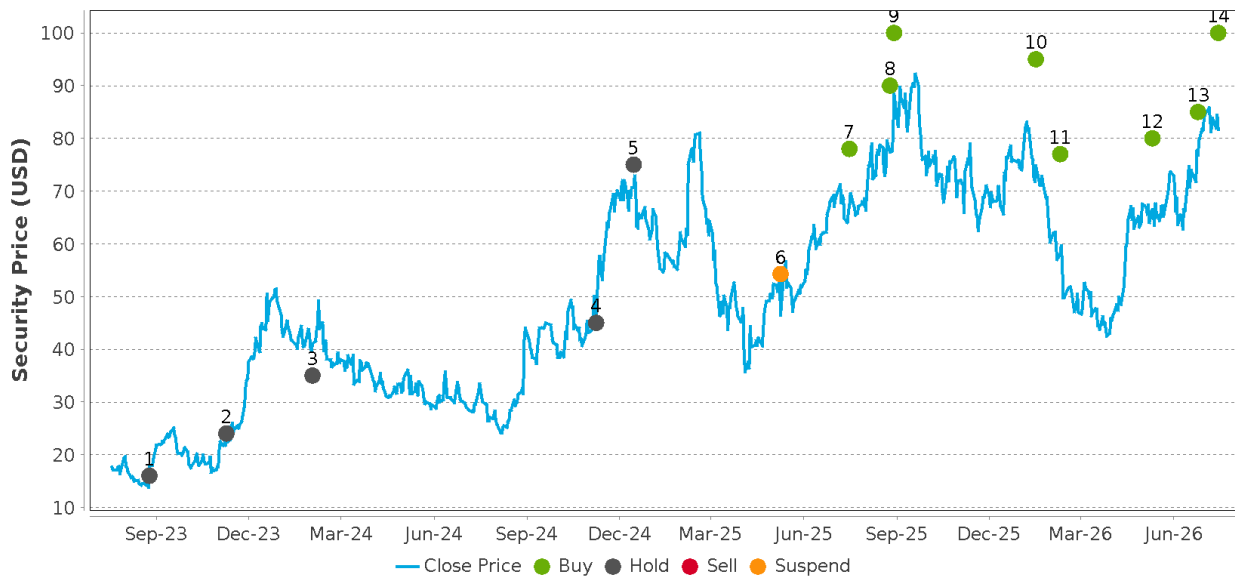
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Historical recommendations and target prices
Affirm (AFRM.OQ)

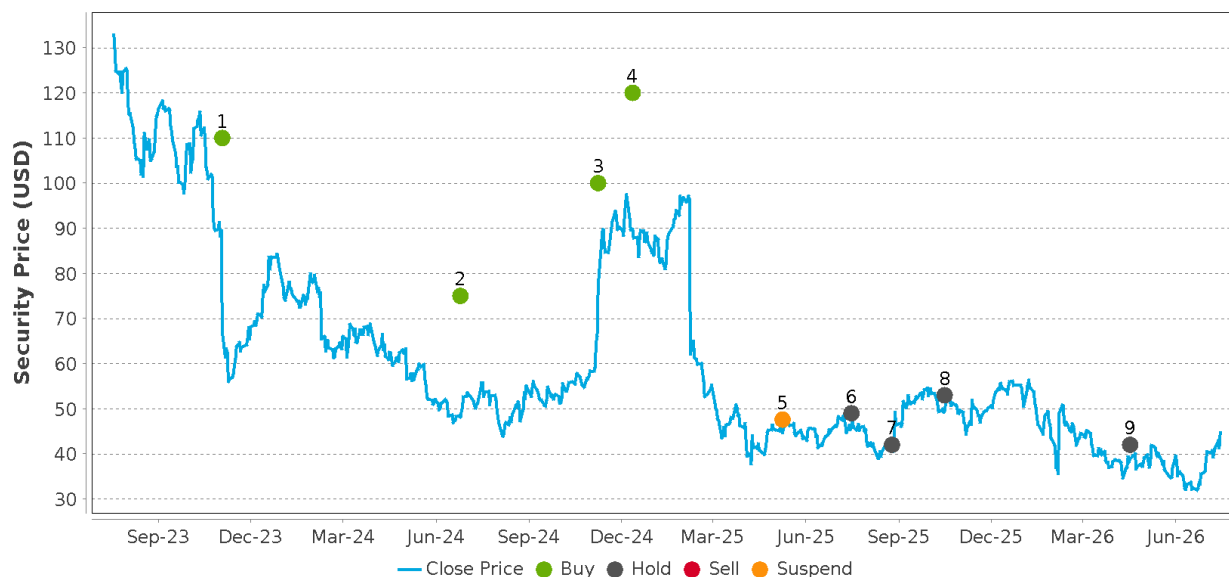


1.	25 Aug 23	Price target: 16.00 (USD), close price 17.79 (USD), Recommendation: Hold, Analyst: Bryan Keane**
2.	9 Nov 23	Price target: 24.00 (USD), close price 24.86 (USD), Recommendation: Hold, Analyst: Bryan Keane**
3.	2 Feb 24	Price target: 35.00 (USD), close price 41.01 (USD), Recommendation: Hold, Analyst: Bryan Keane**
4.	8 Nov 24	Price target: 45.00 (USD), close price 46.48 (USD), Recommendation: Hold, Analyst: Bryan Keane**
5.	15 Dec 24	Price target: 75.00 (USD), close price 70.70 (USD), Recommendation: Hold, Analyst: Bryan Keane**
6.	9 May 25	Coverage suspended
7.	16 Jul 25	Price target: 78.00 (USD), close price 67.21 (USD), Recommendation: Buy, Analyst: Nate Svensson
8.	25 Aug 25	Price target: 90.00 (USD), close price 77.39 (USD), Recommendation: Buy, Analyst: Nate Svensson
9.	29 Aug 25	Price target: 100.00 (USD), close price 88.46 (USD), Recommendation: Buy, Analyst: Nate Svensson
10.	16 Jan 26	Price target: 95.00 (USD), close price 74.76 (USD), Recommendation: Buy, Analyst: Nate Svensson
11.	9 Feb 26	Price target: 77.00 (USD), close price 57.95 (USD), Recommendation: Buy, Analyst: Nate Svensson
12.	11 May 26	Price target: 80.00 (USD), close price 66.45 (USD), Recommendation: Buy, Analyst: Nate Svensson
13.	25 Jun 26	Price target: 85.00 (USD), close price 76.85 (USD), Recommendation: Buy, Analyst: Nate Svensson
14.	15 Jul 26	Price target: 100.00 (USD), close price 81.71 (USD), Recommendation: Buy, Analyst: Nate Svensson

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Bill (BILL.N)



1.	3 Nov 23	Price target: 110.00 (USD), close price 66.93 (USD), Recommendation: Buy, Analyst: Bryan Keane**
2.	25 Jun 24	Price target: 75.00 (USD), close price 48.21 (USD), Recommendation: Buy, Analyst: Bryan Keane**
3.	8 Nov 24	Price target: 100.00 (USD), close price 77.31 (USD), Recommendation: Buy, Analyst: Bryan Keane**
4.	12 Dec 24	Price target: 120.00 (USD), close price 89.81 (USD), Recommendation: Buy, Analyst: Bryan Keane**
5.	9 May 25	Coverage suspended
6.	16 Jul 25	Price target: 49.00 (USD), close price 45.90 (USD), Recommendation: Hold, Analyst: Nate Svensson
7.	25 Aug 25	Price target: 42.00 (USD), close price 41.06 (USD), Recommendation: Hold, Analyst: Nate Svensson
8.	16 Oct 25	Price target: 53.00 (USD), close price 49.65 (USD), Recommendation: Hold, Analyst: Nate Svensson
9.	17 Apr 26	Price target: 42.00 (USD), close price 38.81 (USD), Recommendation: Hold, Analyst: Nate Svensson

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Mastercard (MA.N)

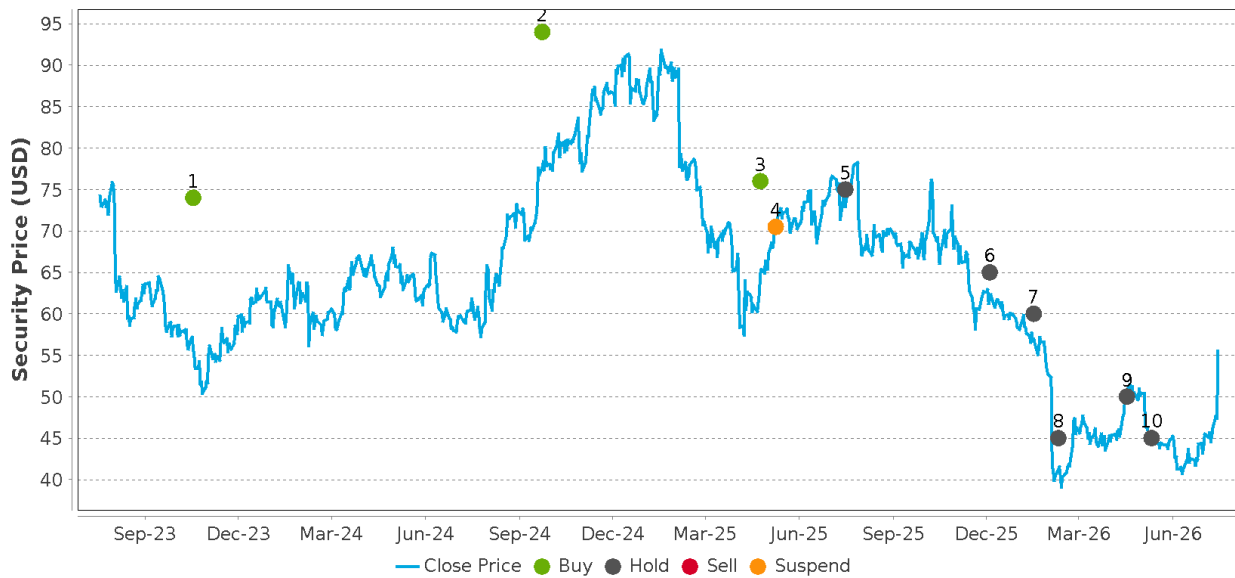


1.	31 Jan 24	Price target: 510.00 (USD), close price 449.23 (USD), Recommendation: Buy, Analyst: Bryan Keane**
2.	31 Oct 24	Price target: 580.00 (USD), close price 499.59 (USD), Recommendation: Buy, Analyst: Bryan Keane**
3.	9 May 25	Coverage suspended
4.	16 Jul 25	Price target: 650.00 (USD), close price 555.52 (USD), Recommendation: Buy, Analyst: Nate Svensson

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PayPal (PYPL.OQ)



1.	18 Oct 23	Price target: 74.00 (USD), close price 55.80 (USD), Recommendation: Buy, Analyst: Bryan Keane**
2.	23 Sep 24	Price target: 94.00 (USD), close price 77.67 (USD), Recommendation: Buy, Analyst: Bryan Keane**
3.	24 Apr 25	Price target: 76.00 (USD), close price 64.77 (USD), Recommendation: Buy, Analyst: Bryan Keane**
4.	9 May 25	Coverage suspended
5.	16 Jul 25	Price target: 75.00 (USD), close price 72.97 (USD), Recommendation: Hold, Analyst: Nate Svensson
6.	4 Dec 25	Price target: 65.00 (USD), close price 61.73 (USD), Recommendation: Hold, Analyst: Nate Svensson
7.	16 Jan 26	Price target: 60.00 (USD), close price 56.89 (USD), Recommendation: Hold, Analyst: Nate Svensson
8.	9 Feb 26	Price target: 45.00 (USD), close price 41.15 (USD), Recommendation: Hold, Analyst: Nate Svensson
9.	17 Apr 26	Price target: 50.00 (USD), close price 50.81 (USD), Recommendation: Hold, Analyst: Nate Svensson
10.	11 May 26	Price target: 45.00 (USD), close price 45.07 (USD), Recommendation: Hold, Analyst: Nate Svensson

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Visa Inc. (V.N)



1.	30 Oct 24	Price target: 340.00 (USD), close price 290.16 (USD), Recommendation: Buy, Analyst: Bryan Keane**
2.	31 Jan 25	Price target: 400.00 (USD), close price 341.80 (USD), Recommendation: Buy, Analyst: Bryan Keane**
3.	9 May 25	Coverage suspended
4.	16 Jul 25	Price target: 410.00 (USD), close price 349.90 (USD), Recommendation: Buy, Analyst: Nate Svensson
5.	4 May 26	Price target: 430.00 (USD), close price 326.85 (USD), Recommendation: Buy, Analyst: Nate Svensson

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Company rating dispersion and banking relationships

DBSI Companies under Coverage	Buy	Hold	Sell
Covered	57%	42%	0%
w/ Banking relationship	42%	35%	0%
w/ MiFID services	63%	51%	67%

Global Companies under Coverage	Buy	Hold	Sell
Covered	58%	40%	2%
w/ Banking relationship	46%	32%	32%
w/ MiFID services	75%	69%	94%

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Note - percentages are rounded so may not total 100%.

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w/MiFID services: Percentage of companies under coverage with a rating within each of the "buy", "hold" and "sell" categories for which Deutsche Bank has provided MIFID Investment and Ancillary services within the previous 12 months.

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Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR: Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield.

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